

Outlook

June Qtr 2026

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Dangerous Times Ahead

Fear of missing out (“FOMO”) is now the dominant driver of investment decisions in global markets. There is no logical, factual basis to these decisions beyond the simplistic belief that asset markets always rise. Operating under this assumption, investors have increasingly gravitated towards the highest risk-for-return investment alternatives. At this moment that means semiconductors, data centres, AI and SpaceX. Yesterday it was the Magnificent Seven.

Investing without a fundamental basis is gambling — momentum trading — where investors are really just playing musical chairs. This approach leads to investment increasingly concentrating into a smaller number of stocks, resulting in narrowing breadth, until the game ends and markets collapse. No one is talking about a large market collapse, or at least no one respectable.

No one knows — least of all Arculus — the timing of the impending collapse. Let us then focus on what we do know, in order to build a logical framework for investment decisions.

Valuation

Market sell-offs occur more frequently than many investors notice or remember. A 10% pullback is termed a ‘healthy’ correction, and a 20% fall typically occurs because of an external shock (the pandemic being a recent example). A market decline of more than 20% tends to occur under one of two scenarios:

- An initial sharp fall (10–20%) that resets investors’ belief that the market never falls, followed by a retracement of around 50% of that fall and then a long, slower decline that plays out over months and spans years. This was the outcome of the Dot-Com crash. Value managers struggled for three years into March 2000 to outperform a crowd that was loading up on dot-com related stocks with no earnings history and, in many cases, only forecast revenues. ‘You had to believe that this time was different.’
- A crash, where prices fall by more than 10% within a two-settlement-day window, triggering margin calls and forced selling that bring the market down by more than 20% and, historically, as much as 50%.

The chart below is a long-term chart of the Nasdaq.



1. The Dot-Com crash, which played out over three years. It is worth noting that investors who bought the initial dip after the March 2000 peak suffered large losses.
2. The GFC, where investors bought after the initial 20% fall only to be blown away by the Lehman Brothers collapse months later. It took three years for the index to recover to its previous peak in late 2007.
3. The decline in tech stocks as the Federal Reserve began to react to higher inflation readings by raising rates — an episode that looks very much like a valuation correction.

While market corrections (10–20%) can occur at any time and generally don't have a lasting impact on investor returns provided the economy remains robust, a market crash only occurs when equities are overvalued. This pre-condition is clearly evident now:

- The growth in the market capitalisation of US stocks has outpaced underlying economic growth by more than 230% — 60 percentage points higher than the Dot-Com peak. On this measure it is the most expensive market in history. In 1929 the same ratio reached 150%.
- The Shiller CAPE ratio at the end of May 2026 had reached 41.6. The historical average is 17. In December 1999 it had reached 44.19; just before the 1929 crash it was 32; and in 2008 it was 27.
- The standard forward P/E ratio of the S&P 500 at the end of the March quarter was 76% above its long-term average.

In hindsight, we may all conclude that the past 12 months were a period of relative stability in global asset markets. At the very least we must accept that, despite massively increased economic and geopolitical risk, investors have enjoyed above-average returns from global asset markets. If the risks are beyond dispute, how have theoretically efficient markets been able to ignore them?

1. **People have short memories.** They cannot recall a significant sell-off that impacted the economy. Back in 1987 the share market crash was triggered by the collapse of the Louvre Accord (a currency-fixing agreement), but what turned a 10% correction into a crash was the role of computer programs on Wall Street that invested by tracking the indices. After the crash, regulators created rules requiring these programs to be turned off once the market hit a set percentage decline. Today, however, passive index funds make up such a large part of the mostly retail investor base that even if regulators enact a circuit breaker, investor redemptions will still force a rolling pattern of selling.
2. **Excess money supply and the Fed 'put'.** The US equity market — and, to a lesser extent, global markets — has been supported by excess money supply created by the Federal Reserve to support US Treasury debt issuance since 2009. This was justified under Modern Monetary Theory, but it was only possible because inflation was under control from 2009 to 2020. Inflation was stable during this period largely because it was effectively being exported to China as manufacturing shifted offshore. The excess money supply pushed up equity prices in the US (and house prices in Australia) and is still suppressing credit margins in the money markets. Now that inflation has returned, the Federal Reserve 'put' cannot be used without adding further fuel to inflation — the rolling stone is gathering moss.
3. **'Time in the market, not timing the market.'** The longevity of the uptrend in equity prices since 2009 has supported the theory used by many — most — wealth advisers: that investing is about time in the market, not timing the market. This theory is supported by the indisputable role of compounding returns in building wealth — a dollar saved today is a dollar earning interest on interest tomorrow. As savings grow, the interest earned each year becomes larger and larger. How quickly it grows can be estimated using the Rule of 72:

$$\text{Years to Double} = 72 / \text{interest rate earned or performance achieved}$$

As an example, an average after-tax return of 7% p.a. would mean a pool of capital doubles approximately every 10 years. Dollar-cost averaging and the role of compounding returns work very well for younger investors with at least a 10-year investment horizon, but the developed world is approaching the peak retirement period of the post-war Baby Boomer generation, and these investors don't have 10 years to ride out a market recovery.

4. **The Baby Boomers saving for retirement.** In a US context, but applicable across the developed world, the impact of the Baby Boomers is significant. The boomer bulge (roughly those born 1946–1964, some 73 million Americans, with the peak cohort now in their early 60s to late 70s) is one of the defining structural forces in the US economy — arguably rivalling monetary policy and productivity growth in its macro footprint.

Baby Boomers

Labour supply and growth potential

Boomers are exiting the workforce faster than younger cohorts can replace them on a pure headcount basis, given lower fertility since the 1970s. Labour force participation for the 65+ cohort has actually risen over the past two decades — many are working longer than prior generations — which has cushioned the drag, but the sheer scale of the cohort means net labour force growth has slowed materially. That matters directly for potential GDP growth (labour force growth plus productivity growth), and it is part of why the Fed's estimate of r^* (the neutral real rate) and trend growth has drifted lower over the cycle, even before AI-driven productivity questions entered the debate.

Fiscal position — Social Security and Medicare

This is the most acute channel. The 2026 Trustees Report (released 9 June) projects the Old-Age and Survivors Insurance Trust Fund will be able to pay 100% of scheduled benefits only until the fourth quarter of 2032 — one quarter earlier than projected last year — at which point 78% of benefits would be payable absent Congressional action. On a combined basis, Social Security faces cash deficits totalling US\$3.8 trillion over the next ten years, and the 75-year actuarial imbalance is 4.42% of payroll, the largest shortfall since 1977. Medicare's Hospital Insurance fund is on a similar trajectory. This is boomer demographics interacting directly with legislated benefit formulas — the dependency ratio (workers per retiree) has been falling for two decades and keeps falling through the early 2030s as the tail of the cohort retires.

Housing and asset markets

Boomers hold a disproportionate share of US home equity and financial assets. As they age, there are two competing effects: continued 'ageing in place' (limiting housing turnover and keeping supply tight — a factor cited in the post-2020 housing shortage) versus an eventual wave of estate liquidation and downsizing that some strategists have dubbed the 'silver tsunami' for housing supply. Similarly, boomer decumulation of 401(k) and brokerage assets over the next 10–15 years is a slow-moving but real headwind for equity flows, offset partly by the largest intergenerational wealth transfer in history — an estimated US\$80–100 trillion-plus moving to Gen X and Millennials over the coming decades.

Healthcare demand and inflation composition

Healthcare spending as a share of GDP rises mechanically as the population ages — this is a structural, not cyclical, driver of both fiscal spending and the services component of CPI, relevant to the 'sticky services inflation' debate that has shaped Fed reaction functions.

Consumption and monetary transmission

Retirees shift from wage income to fixed-income and asset income, which changes sensitivity to rate policy — a large retired cohort is more sensitive to deposit and bond yields (the income effect) and less sensitive to mortgage and borrowing costs (the substitution effect) than a working-age population. Some economists cite this as one reason the transmission of Fed hikes into consumption has been more muted this cycle than historically — boomers with locked-in low mortgage rates and high savings have actually benefited from higher yields on cash and bonds.

Timing for market sell off

Preconditions have been met

1. Valuations are well above historical levels.
2. Sovereign risks are rising, with the US midterms likely to see policy changes and, here in Australia and in the UK, the rise of new right-wing parties adding further to policy uncertainty (see Appendix 3, Rising Sovereign Risks).
3. Inflation, well above target levels, will inhibit a central bank rescue in the form of QE. Warsh has already expressed his reservations about using QE.
4. Passive index funds that ignore valuation and economic signals are now a large part of the market. They will be forced sellers when the market turns down.

Triggers

1. The three biggest IPOs in the history of the world will all occur over the June to December 2026 period. SpaceX has already listed; OpenAI and Anthropic are planned. Each is expected to be valued at US\$1 trillion. When they list, their sheer size means they are automatically added to the key indices and benchmarks tracked by passive funds. Funding these new IPOs will mean other stocks have to be sold — we are already seeing the Magnificent Seven underperform — and it will mean increased concentration risk **(see the Technical Analysis section)**.
2. The Iran conflict extending further than the market expects, with rising oil, urea and sulphur prices impacting inflation (even the trimmed mean). Should this change the market's expectation for Federal Reserve interest rates, it will impact markets **(see Appendix 1, our Strait of Hormuz impact paper)**.
3. A return of the yen carry trade unwind, which could force US long bond yields higher **(see Appendix 2, JPY Rates and the Japanese 10-Year Bond: Behind the Curve, and the Transmission Channel to Australian Duration)**.

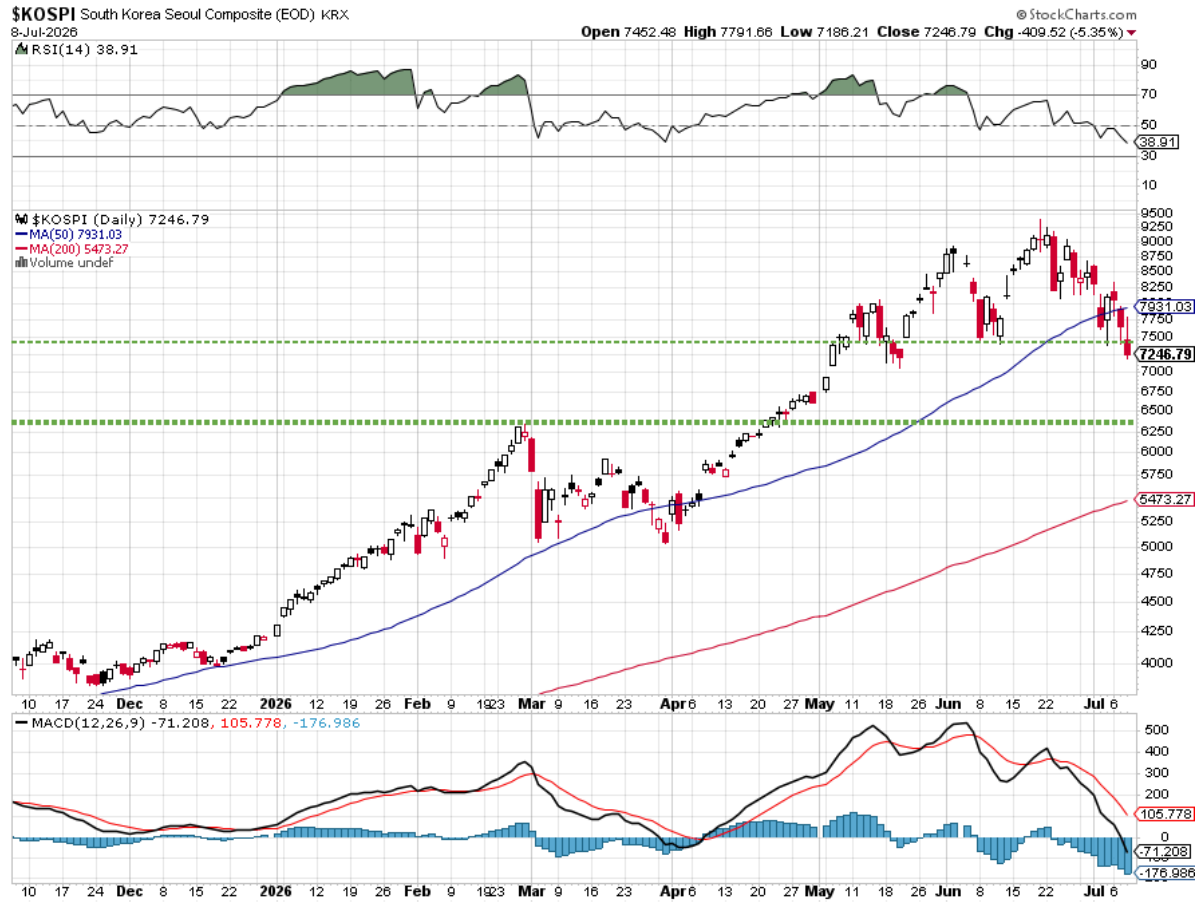
Technical Analysis

As an early signal we are watching the South Korean equity market index – KOSPI. The South Korean, Indian and Taiwanese economies are all closely tied to the semiconductor and AI outcome. At this stage the Indian and Taiwanese indices are not showing technical stress but the KOSPI is approaching some support points that must hold.

The following two charts depict the KOSPI index. The first shows the index on the daily chart breaking through a key support point on the daily chart that will now act as a resistance level. The chart is approaching oversold levels so it may trade sideways for some time. The next key support is depicted near 6300.

The second chart shows the KOSPI index on a monthly basis. The hyperbolic nature of the surge over the past 12 months looks like a bubble.

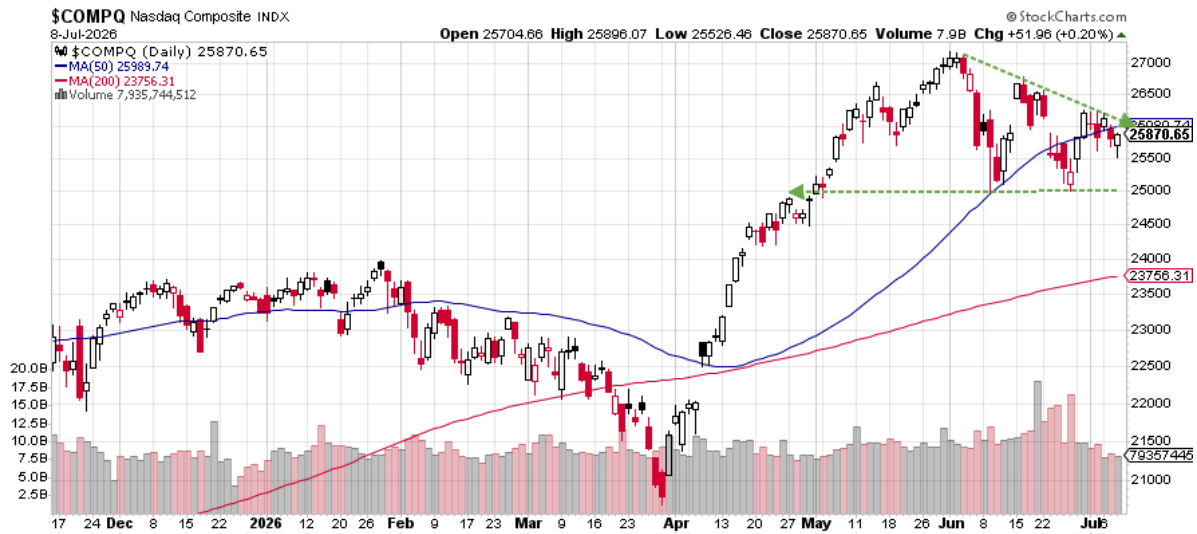
\$KOSPI South Korea Seoul Composite (EOD) KRX
8-Jul-2026
▲ RSI(14) 38.91



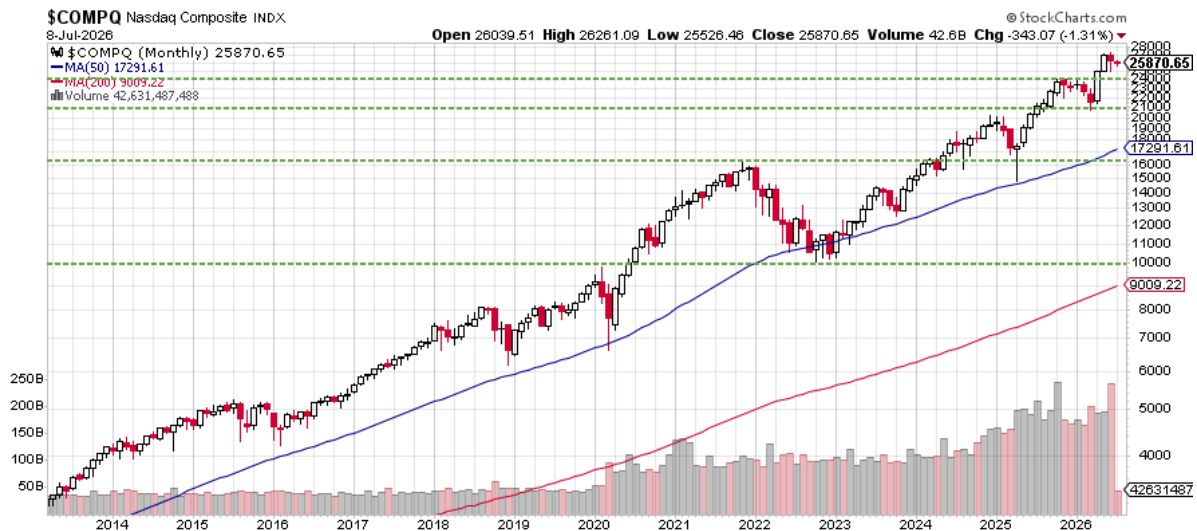
\$KRDOW Dow Jones South Korea Stock Index (EOD) IND.X
2-Jul-2026
▲ RSI(14) 72.47



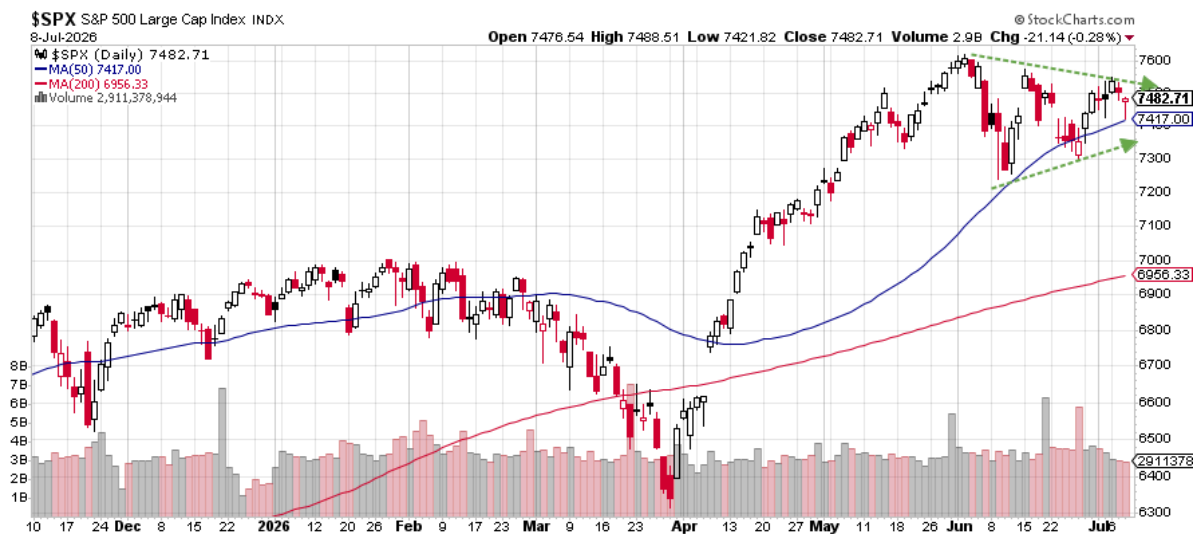
The daily Nasdaq Composite chart shows what looks like a top formation (H&S) above a neckline at 25,000. The next key support level would be 24,000.



The monthly Nasdaq chart depicts support at 24,000, 21,000 and just above 16,000.



At this stage the S&P 500 does not look bearish. The pattern of falling high and rising lows depicted may mean a bullish wedge is forming. Watch for a break of 7300 as a bearish sign.



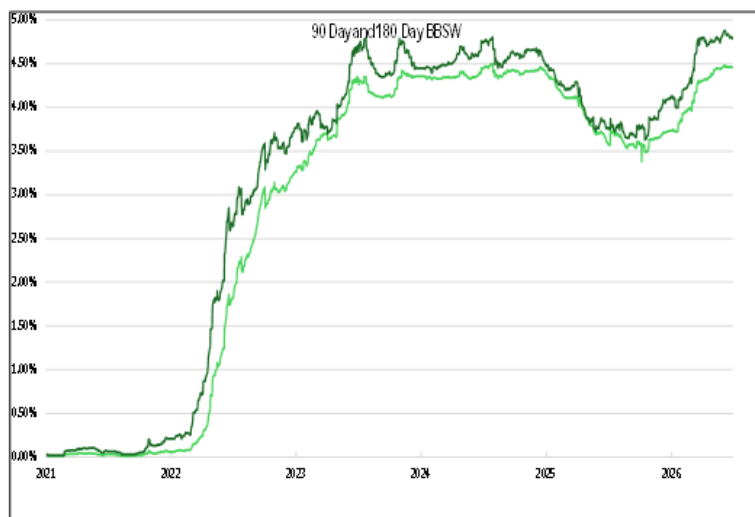
AUD Fixed Income & Credit Markets: June 2026 Review

Summary

- The RBA held the cash rate at 4.35% on 16 June, unanimously, its first pause of 2026 after consecutive hikes in February, March and May. We read the pause as a genuine pause rather than the end of the cycle.
- Headline CPI softened to 4.0% YoY in May (from 4.2%) on transitory fuel and travel falls, but underlying inflation firmed — the RBA's trimmed mean rose to 3.6% YoY, a high of its monthly series (see flagged data note below on a related figure quoted elsewhere in the source drafts).
- The labour market reasserted its strength (unemployment back to 4.4%, +40k jobs, underutilisation at 10.2%), and the Fair Work Commission's 4.75% award wage decision — covering ~21% of the workforce — takes effect from 1 July and is expected to feed market services inflation through the second half.
- House view: the Bank remains on hold through H2 2026 before one further 25bp hike in the December quarter; a second 2027 hike is a flagged risk case, conditional on continued strong money supply growth translating into a wage-price spiral, not our base case.
- The domestic curve is flattening on widening US-Australia policy divergence — front end anchored by cost-push inflation the RBA can't look through, long end pulled down by a softer global growth signal.
- Credit spreads completed their unwind of the March tariff-driven dislocation across the capital structure in June: iTraxx Australia 5yr closed 3.9bps tighter at 67.8bps (round-tripping the entire March move), major-bank senior ground to 65bps, and AT1/Tier 2 rallied further on a clean technical backdrop — an A\$ Tier 2/AT1 supply vacuum, with over A\$8bn-equivalent priced offshore since May.
- The month's key idiosyncratic event was Judo Capital's ~40% share-price fall on 25 June following an FY26 profit downgrade tied to a sharp lift in specific credit provisions; Arculus holds no Judo debt or hybrid exposure in any mandate.

Monetary Policy & Inflation Outlook

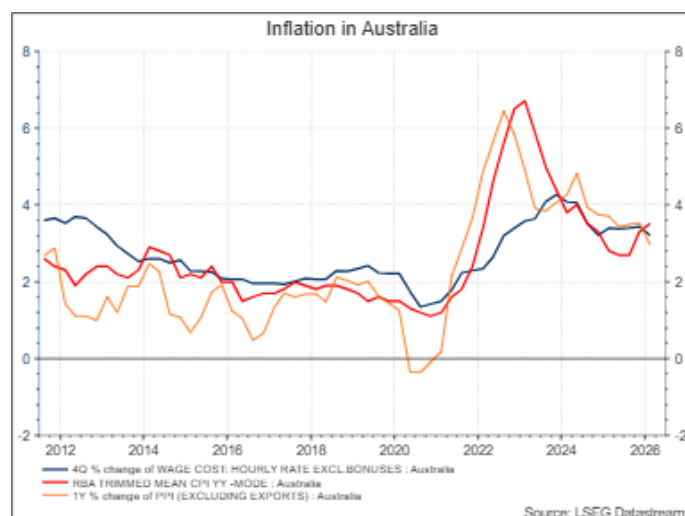
The Reserve Bank held the cash rate steady at 4.35% this month following three consecutive 25bp increases across February, March and May — a unanimous decision that Governor Bullock paired with an acknowledgement the economy still carries "a bit of excess demand." We read the pause as genuine, not the end of the cycle. Our central case is that the Bank remains on hold through the second half of the year before delivering a further 25bp increase in the December quarter, a move we expect to be driven by cost-push inflation crystallising even as the broader economy looks lacklustre.



RBA cash rate path and market pricing. Source: Arculus, RBA.

Underlying inflation is building beneath a softer headline

May headline CPI fell a larger-than-expected 0.69% MoM to 4.0% YoY (from 4.2% in April), dragged by an 11.9% fall in automotive fuel — reflecting both the halving of the fuel excise on 1 April and lower world oil prices — and a 6.9% drop in travel, both of which look transitory. Underneath, the trimmed mean rose to 3.6% YoY (from 3.4%), the high of its monthly series, led by housing, the largest contributor at +6.5% YoY: new-dwelling construction costs (+5.6% YoY, adding ~42bps to headline on its own), accelerating rents (toward 4%), and electricity up 21.1% YoY as government rebates rolled off, with market services still firm.

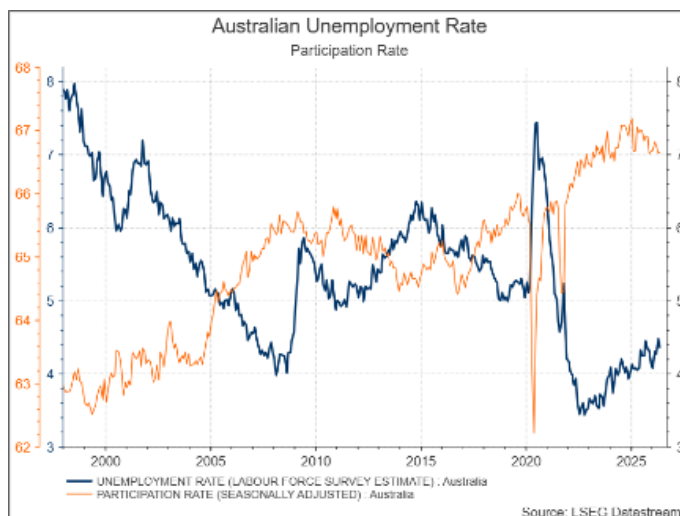


Underlying vs. headline CPI, monthly series. Source: Arculus, ABS.

Critically, this build is evident before the Fair Work Commission's 4.75% award wage increase — handed down 2 June and lifting pay for roughly 2.7 million award-reliant workers, around 21% of the workforce — takes effect from the first full pay period on or after 1 July (the concurrent ~6% rise in the National Minimum Wage reaches under 1% of employees and is macroeconomically immaterial). At 4.75%, the award increase sits just below headline inflation and is broadly real-wage-neutral for affected workers, but we expect it to feed through market services inflation over the second half. The June-quarter CPI on 30 July is the nearer-term checkpoint — the RBA's own forecasts have headline inflation near 4.8% over the year to June — but the award impulse will not register until the September quarter, leaving the late-October Q3 CPI the most likely trigger for the Bank to move.

A hike into a cooling economy

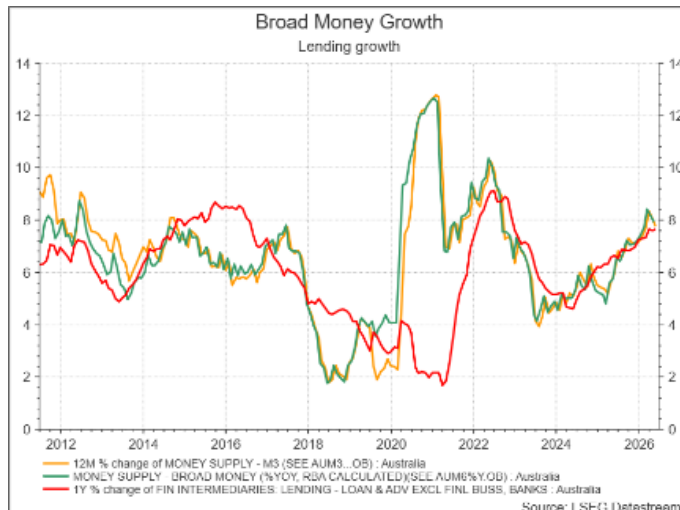
That this tightening would land into a cooling economy is, in our view, the defining feature of the outlook rather than a contradiction of it. The housing downturn has begun, hours worked softened in the month, and household spending is growing at its slowest pace in a year. Yet the labour market remains genuinely tight: unemployment fell back to 4.4% (from 4.5% in April) as April's spike reversed, employment rebounded 40k, participation held steady at 66.7%, and broader spare-capacity measures — underutilisation at 10.2%, underemployment near its cycle low — sit at generational tights. Against firm core inflation and a tight labour market, Australian 10-year Commonwealth Government Bond (ACGB) yields were little changed on the month — the 10-year around 4.85% and the 30-year near 5.30% — and the AUD held close to US\$0.70. The Street is split on the next move; our own bias, given the core build and labour-market strength, remains toward one more hike.



Labour market spare-capacity indicators. Source: Arculus, ABS.

The 2027 risk: a wage-price spiral

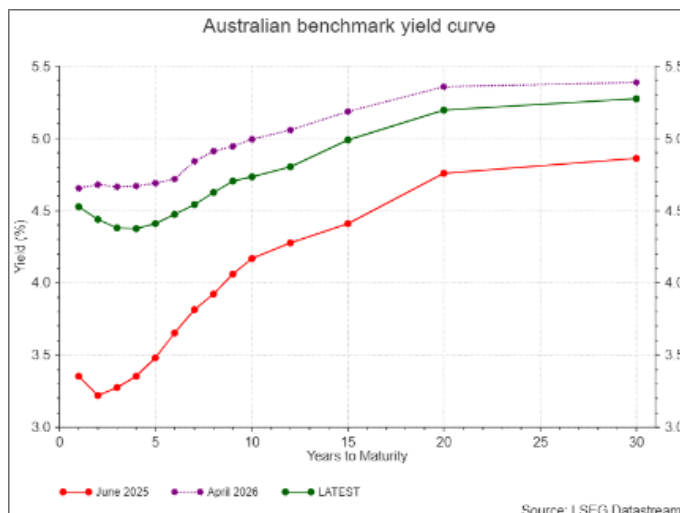
Beyond the December move, we see a credible path to a second 25bp increase during 2027, though we treat it as conditional and sequenced. The first condition is that money supply growth remains strong, sustaining the monetary impulse behind demand; only if that holds does the second condition — a broadening in wages growth — become the mechanism that converts cost-push pressure into a self-reinforcing wage-price dynamic. Absent strong money supply growth, we would not expect wages alone to force the Bank's hand. We flag this as a risk case, rather than our base, but note it runs directly counter to prevailing assumptions of an easing cycle from late 2027. On our trajectory the next move is up, then held, and the eventual cut sits materially later than consensus.



Money supply growth and wages growth, illustrative sequencing. Source: Arculus, RBA, ABS.

Near-term curve reaction: Middle East peace dividend

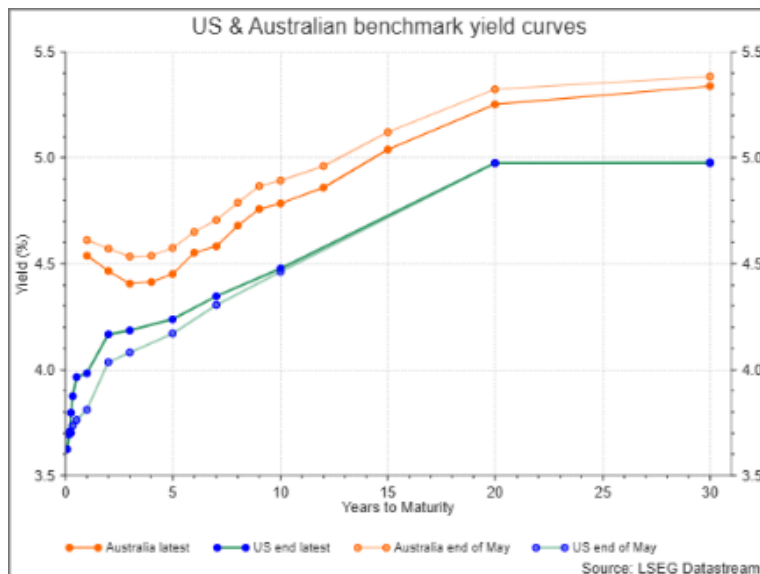
In the short term, the shape of the yield curve is reflecting a rapid impact on inflation expectations from the peace deal in the Middle East, which markets are pricing as enabling an overnight restoration of energy and shipping supply chains.



AUD yield curve reaction to Middle East de-escalation. Source: Arculus, LSEG Workspace.

Australian Benchmark Yield Curve

Our strategic frame is a widening US-Australia policy divergence that splits the domestic curve. The front end is pulled higher by a domestic cost-push story the RBA cannot easily look through; the long end is pulled lower by a global growth signal that is beginning to discount slower US activity. The net expression is a flatter ACGB curve. RBA terminal-rate uncertainty resolved somewhat late in the month — for every meeting to December 2027 now sits within a tight 25bp band around 4.25–4.50% — while 10-year swap fell from 5.00% to 4.62% on a late-month rates rally, with front-end demand rotating out of fixed and into FRNs as the 5-year semi-quarterly swap traded through 3-month BBSW for the first time since October.



Australian benchmark yield curve, month-end vs. prior month-end. Source: Arculus, LSEG Workspace.

Credit Markets

iTraxx Australia CDS Index

The iTraxx Australia 5-year CDS index completed its retracement of the March episode in June. The index opened at 71.7bps, briefly ticked up to a month high of 74.0bps on 9 June, then tightened steadily to a low of 67.4bps on 25 June and closed the month at 67.8bps — a net move of –3.9bps. With this, the synthetic index has effectively round-tripped the entire March blow-out, which had carried it to a peak near 94bps. On a year-on-year basis the 67.8bps close is approximately 7.5bps tighter than the 75.3bps recorded at 30 June 2025, and on a year-to-date basis the index sits just 4.3bps above its early-January starting level of 63.5bps — down from a peak differential of roughly 30bps at the height of the March episode, evidence that virtually all of the tariff-driven widening has now unwound. With the cash-versus-synthetic basis normalised and risk premia at historically tight levels, the market enters the new financial year from a firm but historically compressed starting point.

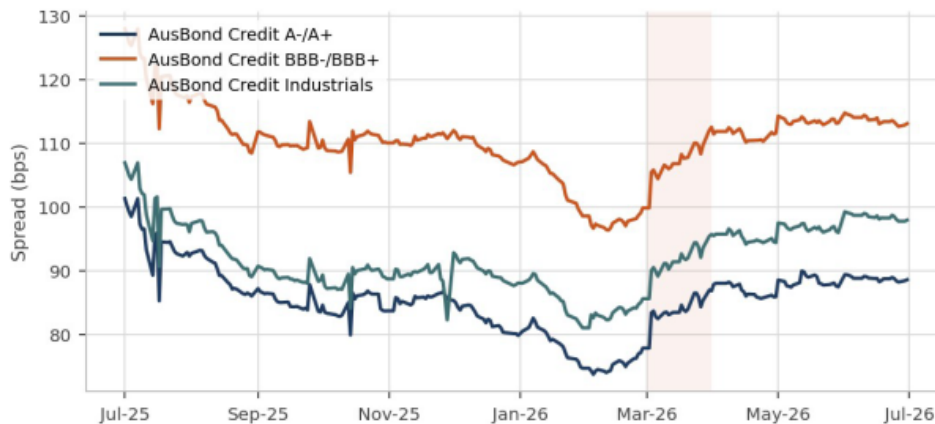


iTraxx Australia 5yr CDS index, Jan 2026 – Jun 2026. Shaded band marks March 2026. Source: LSEG Workspace, Arculus Capital.

Investment-Grade Credit

June delivered a broad-based tightening across the entire capital structure, carrying spreads in most segments to tighter levels than seen for some years and completing the unwind of March's tariff-driven dislocation. Indicative 5-year major-bank senior ground from 68bps to 65bps (–3bps), the tightest month-end of the cycle and 14bps inside its end-June 2025 level. Floating rate senior bank bonds remain the

most defensively positioned segment of the market — the BBSW reset, no duration risk, seniority in the capital structure and RBA repo eligibility give a liquidity backstop that's not available to any other private-sector instrument in Australia. With cash and synthetic markets both through their March wides, the financial year closed with credit risk premia at their most compressed levels of the cycle.



AusBond Credit A, BBB and Industrials indices, Jul 2025 – Jun 2026. Shaded band marks March 2026. Source: LSEG Workspace, Arculus Capital.

Major bank capital structure — June 2026 (YoY vs June 2025)

Instrument	Open (bps)	Close (bps)	Mth Chg	YoY Chg
Major bank 5yr indicative (senior)	68	65	-3	-14
Major bank RMBS 2.5-3.5yr WAL	90	87	-3	+1
~5yr major bank B3 Tier 2	126	121	-5	-40
~5yr major bank AT1	181	167	-14	-46

Source: LSEG Workspace, Arculus Capital. Figures rounded to whole basis points.

AusBond credit indices — June 2026 (YoY vs June 2025)

Index	Open (bps)	Close (bps)	Mth Chg	YoY Chg
AusBond Credit A-/A+ Index	89.4	88.6	-0.8	-9.2
AusBond Credit BBB-/BBB+ Index	114.7	113.1	-1.7	-14.1
AusBond Credit Industrials Index	99.2	97.9	-1.3	-6.3

Source: LSEG Workspace, Arculus Capital.

Bank Capital: Tier 2 & AT1

The sub-debt complex led the tightening on a clean technical backdrop. Major-bank Tier 2 ground tighter across the middle and long end of the curve — NC5 closed 4–5bps tighter and NC10 as much as 10bps tighter (160→151bps), while the 1-year and 20-year bonds were little changed; indicative ~5-year AT1 rallied from 181bps to 167bps (-14bps), 46bps inside a year ago. The dominant driver was a supply vacuum: no A\$ Tier 2 or AT1 priced in June, with issuers pivoting decisively offshore — more than A\$8bn-equivalent of non-A\$ Tier 2 has priced since the start of May across eight transactions, the heaviest two-month run on record — leaving maturing paper and coupons to be redeployed in secondary.

	1y	2y	3y	4y	5y	10y	20y
29 May	75	92	109	118	126	161	138
30 Jun	76	88	105	114	121	151	137
Change (bp)	+1	-4	-4	-4	-5	-10	-1

Major-bank Tier 2 FRN secondary curve — discount margin (bp), month-end marks. Source: Westpac Markets.

The late-month rates rally reignited the long end, with NC10 demand led by outright investors as 10-year swap fell from 5.00% to 4.62% and RBA terminal-rate uncertainty resolved. At the front, demand rotated out of fixed and into FRNs as the 5-year semi-quarterly swap traded through 3-month BBSW for the first time since October. QBE's AT1 was the standout, closing 27bps tighter at \$101.25 (+228bps) and the single most-traded line of the month, helping to absorb a concentrated slug of 17 June redemptions (NAB, Suncorp and Macquarie); Kanga AT1 was also active as its basis to A\$ lines compressed materially.

Idiosyncratic Credit: Judo Capital

The month's main idiosyncratic development was Judo Capital (ASX: JDO), the SME-focused challenger bank, whose shares fell around 40% on 25 June — trading as much as 46% lower intraday, to about 82c from a \$1.535 prior close, erasing roughly A\$800m of market value — after it cut FY26 profit-before-tax guidance to \$163–169m from \$180–190m. The downgrade (~\$20m, or ~11%) was driven almost entirely by a lift in the FY26 cost of risk to \$116–122m on specific provisions against three borrower exposures across different sectors that deteriorated rapidly in recent weeks, one of which entered voluntary administration.

Judo expects 90-days-past-due and impaired loans at ~3% of its ~\$14.4bn book by 30 June, though it held collective provision coverage (94bps) and CET1 (12.4%) and reaffirmed FY27 PBT guidance of \$210–220m. The provision increase is only ~15bps of the book, but its abruptness — weeks after an April reaffirmation — has the market questioning whether it is idiosyncratic or an early sign of broader SME or economic stress. The RBA's March 2026 Financial Stability Review had already flagged business non-performing loans edging higher, particularly in hospitality and construction. Judo's Tier 2 lines are 50–55bps wider on the month, and full-year results are due 18 August.

Note: Arculus has not held Judo Capital debt or hybrid positions in any of its mandates.

Summary & Positioning Implications

- Rates: base case is one further 25bp RBA hike in the December quarter, with the flattening bias in ACGBs (US-AU divergence) continuing to favour short-duration, floating-rate exposure over long fixed duration for both funds.
- Credit beta: spreads across the capital structure closed June at or near cycle-tight levels following the full unwind of the March dislocation — a supportive backdrop for carry, but one that leaves less room for further compression and warrants continued discipline on new-issue selection.
- Bank capital: the A\$ Tier 2/AT1 supply vacuum (issuers pivoting offshore) is a structural technical tailwind for secondary AT1/Tier 2 valuations that both funds are positioned to benefit from.
- Idiosyncratic risk: Judo Capital is a reminder that SME/business credit stress is emerging in pockets (hospitality, construction per the RBA's FSR); Arculus holds no exposure, but the episode is a useful screen for underwriting standards on other regional/challenger names.
- Data integrity: the underlying-inflation figure discrepancy flagged in Section 2 should be resolved against the ABS release before this note is circulated further.

Above BBB-

Portfolio Positioning Report

Overview

The mandate's objective is to generate stable income at a spread above the bank bill swap rate (BBSW) while preserving capital, investing only in investment-grade floating-rate notes rated BBB- or higher. The mandate holds a portfolio of twelve investment-grade floating-rate notes (FRNs) together with a small cash balance, for a total market value of **\$144.55 million** as at 30 June 2026. Because the book is entirely floating-rate, its sensitivity to movements in the cash rate is minimal — modified duration is **0.12 years** — and coupon income resets quarterly with BBSW. The mandate's risk and return are therefore driven principally by credit spread: the portfolio earns a weighted discount margin of **166 basis points** over BBSW, carries an effective (spread) duration of **2.78 years**, and yields **6.25%** on a running basis (6.13% to maturity).

The book is constructed as a quality barbell: roughly 44% sits in short-dated (2028) AA-major-bank senior FRNs that anchor liquidity and carry tight spreads, balanced against 42% in higher-yielding BBB subordinated bank and insurance paper and BBB- senior finance, which lift portfolio income. The holdings are entirely investment grade — rated BBB- or higher, in keeping with the mandate's remit — and the portfolio carried an unrealised gain of **\$1.13 million** (+0.79%) over cost at month-end.

Fund snapshot

Portfolio market value	\$144.55m
Value invested (at cost)	\$142.68m
Unrealised gain	+\$1.13m (+0.79%)
Holdings	12 floating-rate notes + cash
Cash weight	0.5%
Running yield (market)	6.25%
Yield to maturity	6.13%
Weighted discount margin	166 bps over BBSW
Modified duration	0.12 years
Effective (spread) duration	2.78 years
Weighted average maturity	3.3 years
Credit quality	Investment grade — BBB- floor (43.5% AA-, 56.5% BBB band)

Positioning

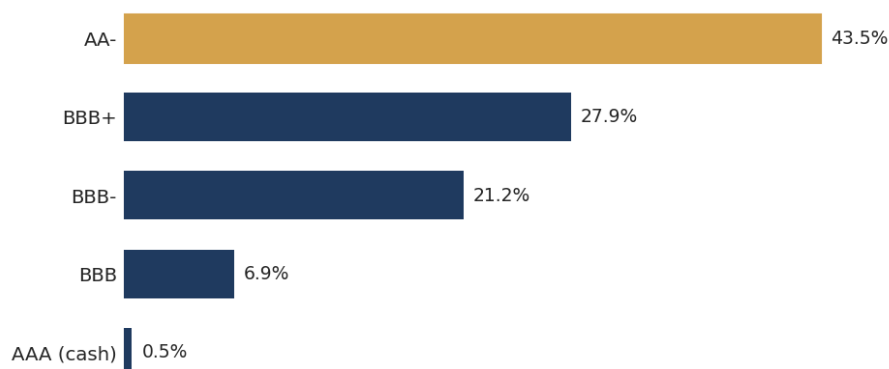
Interest-rate risk. The portfolio is deliberately insulated from duration risk. With every holding a floating-rate note resetting quarterly to BBSW, modified duration sits at 0.12 years, so a parallel move in the cash rate has negligible direct price impact and coupons re-fix higher or lower with the benchmark. The mandate is positioned to hold its capital value through rate volatility rather than to profit from falling yields.

Credit risk. Credit spread is the primary lever. The weighted discount margin of 166 bps over BBSW is earned across an effective (spread) duration of 2.78 years, concentrated in the subordinated and BBB-rated sleeve. The AA- major-bank seniors trade at tight margins of 71–114 bps and provide ballast, while the BBB subordinated and finance names (118–365 bps) supply the bulk of the spread income. A widening in credit spreads is the main source of mark-to-market risk; the short spread duration limits the magnitude.

Sector and issuer. Exposure is banking-heavy at 64% of the portfolio, with insurance at 21% and non-bank finance (Liberty) at 14% — a mix consistent with the composition of the Australian investment-grade FRN market. The largest single-name exposures are Westpac and Commonwealth Bank at roughly 18% each, in both cases split across senior and subordinated lines.

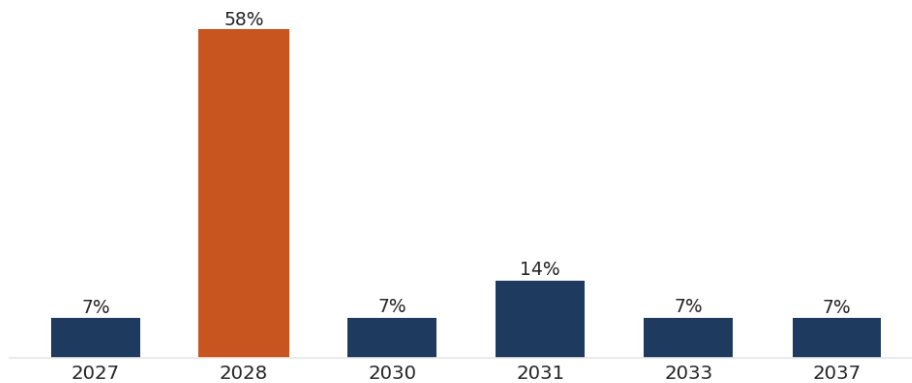
Portfolio composition

Credit rating



All holdings are investment grade; 43.5% sits in AA- major-bank senior paper, with the balance across the BBB band.

Maturity profile



Maturities are concentrated in 2028 (58%), with a longer tail out to 2037 provided by the subordinated insurance holdings.

Sector, seniority and issuer

Sector	Weight
Banking	64.2%
Insurance	21.2%
Finance	14.1%
Cash	0.5%

Seniority	Weight
Senior	57.6%
Subordinated	41.9%
Cash	0.5%

Top issuers	Weight
Westpac	17.9%
Commonwealth Bank	17.6%
Liberty Financial	14.1%
NAB	10.9%
ANZ	10.8%
IAG	7.2%
QBE	7.1%
Suncorp	7.0%
Macquarie	6.9%
Cash	0.5%

Holdings

Issuer	Rating	Seniority	Maturity	Weight	Price	Run. yield	Disc. margin
CBA	AA-	Senior	Jan 2028	10.9%	101.01	5.21%	89 bps
Westpac	AA-	Senior	Feb 2028	10.9%	100.80	5.22%	71 bps
NAB	AA-	Senior	Apr 2028	10.8%	100.52	5.21%	114 bps
ANZ	AA-	Senior	Feb 2028	10.8%	100.34	5.24%	99 bps
Liberty Financial	BBB-	Senior	Mar 2028	7.2%	103.88	8.24%	190 bps
IAG	BBB+	Subordinated	Dec 2028	7.2%	103.33	6.74%	118 bps
QBE	BBB-	Subordinated	Oct 2030	7.1%	102.74	6.82%	215 bps
Westpac	BBB+	Subordinated	Jun 2033	7.1%	102.53	6.59%	187 bps
Liberty Financial	BBB-	Senior	Apr 2027	7.0%	101.41	7.46%	365 bps
Suncorp	BBB+	Subordinated	Jun 2037	7.0%	101.09	6.69%	223 bps
Macquarie	BBB	Subordinated	Jun 2031	6.9%	100.15	6.62%	219 bps
CBA	BBB+	Subordinated	Aug 2031	6.7%	97.66	6.74%	285 bps
Cash	AAA	—	—	0.5%	—	4.46%	—
Portfolio	—	—	—	100.0%	—	6.25%	166 bps

Weights may not sum to 100% due to rounding. Prices are dirty (accrual-inclusive) as carried in the mandate valuation; discount margins and effective (spread) duration are model-derived and cross-checked against LSEG. Running yield is the current coupon over price; the discount margin is the spread to BBSW implied by the current price.

Summary

The mandate is positioned as a low-duration, investment-grade credit portfolio. It takes very little interest-rate risk and earns its return from a diversified book of bank, insurance and finance floating-rate notes at a weighted spread of 166 bps over BBSW, for a running yield of 6.25%. The quality barbell — short AA- senior majors against higher-yielding BBB subordinated paper — keeps average credit quality firmly investment grade while lifting income. The principal risk is a broad widening in credit spreads; the short spread (effective) duration of 2.78 years and the liquidity of the major-bank sleeve are the main mitigants. Banking concentration and the subordinated insurance tail (out to 2037) are the positioning features most worth the Committee's attention.

Above BBB- is a separately managed account managed by GCI Australia. Figures are sourced from the mandate's portfolio valuation and analytics as at 30 June 2026.

Appendix

Appendix 3: Rising Sovereign Risk

It may have been missed with the deluge of AI-Iran war news flow over the past quarter, that the US government debt is no longer AAA rated by any of the major rating agencies (S&P, Fitch and Moody's). Moody's is now the last major rating agency to downgrade US Treasuries to one notch below AAA, equivalent with Fitch and S&P. In our view the rating agencies are just a benchmark and not a reliable indicator of the US economy's debt capacity or its economic outlook. Both economic policy and the outlook for the US economy have become a lot more difficult to discern under the Trump Administration's approach to policy actions and this is increasing US sovereign risk. The US economic outlook and our thoughts on the Warsh appointment to the Federal Reserve are in a separate section below.

In an Australian context we need to consider the market sovereign risk assessment of Australia's government-issued Commonwealth bonds, semi-government bonds, and debt guaranteed by the Commonwealth (CAC Act companies like NBN, Export Finance Corporation, Airservices Australia, etc.). Given the actual Commonwealth guarantee that applies to federal borrowing and all the off-balance-sheet borrowing through government corporations we need to aggregate all of this into the risk assessment. We also need to be conscious of the fact that while the federal government is running a large budget deficit (that is forecast to increase despite new taxes) its allocation of \$50 billion to the Clean Energy Finance Corporation and \$15 billion to the National Reconstruction Fund is effectively federal government borrowing and not from a positive operating fiscal outcome, as was the case when the Future Fund was created by the Howard Conservative government. In a small business context this is like borrowing to keep the doors open! It is not sustainable and not a logical or ethical use of sovereign risk when conveniently the Clean Energy Finance Corporation and the National Reconstruction Fund operate on a fully funded external basis with little accountability for the outcomes they achieve.

So when assessing the strategic sovereign risk we use gross not net debt because the cash socked away in off-balance-sheet entities is never going to be recoverable. In fact, in the Dr Jim Chalmers budgets since 2022, Treasury has included in each federal budget what it judges to be the excess returns generated by the Future Fund when calculating the budget deficit. Seriously you could not make this up! The excess investment returns generated by the Future Fund are not transferable out of the Future Fund. They remain in the Future Fund for the purpose of funding future Commonwealth employees' pensions (as planned originally by Costello). As the Future Fund is a government-owned asset, the increase in its value does impact net debt, but it is deceitful to use it to diminish the budget deficit. If the value of the Future Fund falls due to a contraction in global growth or a share market crash, you can bet it will drop out of the budget narrative.

In the most recent Budget there was a large unexplained line item of \$15 billion. There was no explanation of where this \$15 billion came from in the budget papers; however, subsequent statements by federal ministers indicate that it is expected to come from the sale of Australian Defence Force land holdings. This is a very big figure (\$15 billion) to come from the sale of this land, even though some of it is in metropolitan areas where land prices are currently very high. There is also the strong possibility that the government's and our media's focus on what has been described as a housing crisis will mean that much of this land is

sold exclusively for the building of low-cost housing. This will prevent the highest value for the land from being achieved.

Appendix 2: JPY Rates and the Japanese 10-Year Bond: Behind the Curve, and the Transmission Channel to Australian Duration

As we enter July we believe that there is a risk that a rapid unwinding of the Yen Carry Trade could occur again and destabilise global asset markets.

Summary

- Japanese government bond (JGB) yields are at multi-decade highs. The benchmark 10-year JGB traded to approximately 2.7–2.8% in early July 2026, its highest level since 1996–97, after a weak 10-year auction on 2 July showed a widening tail (0.2pt vs 0.05pt in June), evidencing thinning real-money demand.
- The Bank of Japan (BoJ) raised its policy rate 25bp to 1% at the 16 June 2026 meeting (7–1 vote), its highest level since 1995, and confirmed it will halt its bond-purchase taper from April 2027, holding monthly JGB purchases at roughly ¥2tn thereafter.
- Despite the hike, markets judge the BoJ to be structurally "behind the curve": Prime Minister Sanae Takaichi's expansionary fiscal programme (in excess of ¥370tn of combined public/private investment mobilisation through FY2040) is driving long-end term premia higher faster than the BoJ's gradualist front-end normalisation path can offset.
- USD/JPY is trading near ¥162, close to 40-year lows for the yen; Goldman Sachs revised its 12-month USD/JPY forecast higher to 165 on 6 July 2026. Japanese authorities have shifted to unannounced "ambush" intervention tactics, but effectiveness is constrained by speculative JPY short positioning sitting at multi-year highs and the underlying attractiveness of yen funding carry.
- The house view — consistent with our prior positioning — is that the JPY carry trade unwind, not a shift in domestic inflation expectations, is the primary mechanical driver of global long-end steepening, including the recent repricing of the 5–10yr sector of the Australian government bond (AGB) curve via the AUD/JPY channel. This is a structural, multi-quarter dynamic, not a one-off fiscal scare.
- Implication for FIF/PIF: continue to favour front/belly duration exposure and floating-rate/short-duration credit over long AGB duration; monitor JGB 20-year sector positioning and the 10s20s30s JGB butterfly as a leading indicator of stress that has historically transmitted to AUD-denominated long-end paper.

JPY Rates: "Behind the Curve"

"Behind the curve" is the dominant theme in JPY rates markets in mid-2026. The Japanese government is pursuing fiscal expansion while simultaneously discouraging the BoJ from an aggressive hiking path, and the resulting policy tension is visible in the shape of the JGB curve rather than in the level of front-end rates.

Unlike G10 peers, where 2y2y/5y5y/10y10y forward flies have compressed toward zero as curves flatten, JPY has traced a distinct path. Since 2023 JPY forward flies moved into negative territory as the BoJ hiked from zero; now, with the policy rate at 1% and a widely discussed terminal rate near 1.5%, the sell-off has concentrated in longer tenors — most visibly the 5y5y sector, where the market is pricing the risk that the consequences of the BoJ falling behind materialise over the medium term.

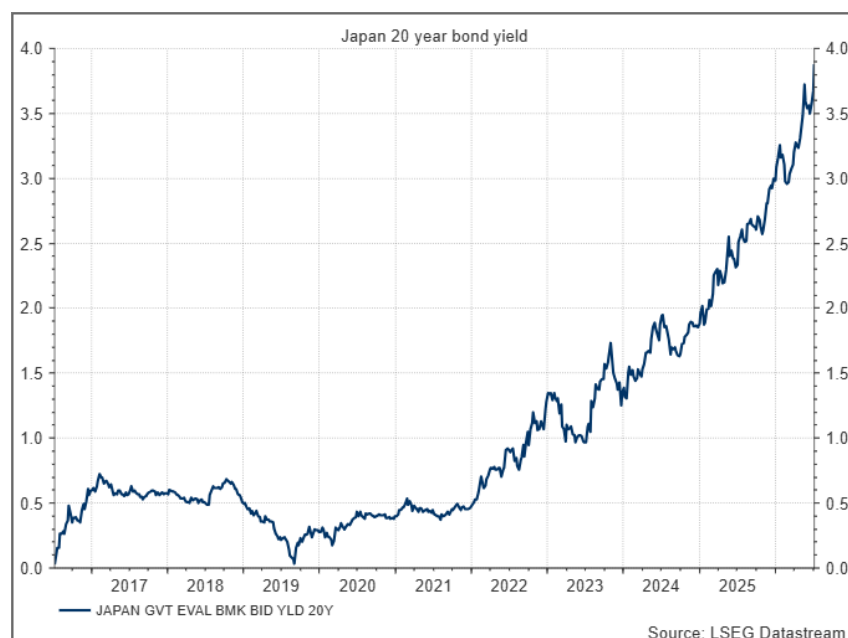
Sell-side Japan research desks (base case) look for the next BoJ hike in December 2026 or January 2027, followed by a further move around mid-2027, consistent with a gradual path to a 1.5% terminal rate — contingent on the BoJ not falling further behind the curve. At the margin, the government's preference is for the BoJ to hold off on aggressive tightening, which is precisely why market concern has migrated into the term premium embedded in long-dated JGBs under PM Takaichi's expansionary fiscal stance. This can be seen in the steady rise in the JGB 10-year yield over the past few months.

The Structural Framework: Supply, Demand and the 20-Year Sector

The current JGB market should not be read as a one-off fiscal scare. Its trajectory is dictated by structural supply-demand dynamics as the BoJ continues to taper its balance sheet. The BoJ confirmed at the June meeting that tapering will not fully halt until April 2027, at which point monthly purchases stabilise near ¥2tn — a fraction of the BoJ's peak footprint, when it held roughly half of outstanding JGBs.

No single investor class can fully replace the BoJ as marginal buyer, leaving the market structurally more exposed to supply-demand imbalances sector by sector:

- 10-year sector: relatively well supported by stable bank and pension fund demand.
- 30-year sector: supported by asset-liability-management (ALM) buying from life insurers.
- 20-year sector: the weak link — it lacks a consistent real-money buyer base, and is therefore most exposed when fiscal concerns push yields higher across the curve.



This relative weakness is visible in the 10s20s30s JGB butterfly (10y and 30y wings vs 20y belly), which sits at a decade high — a useful, monitorable proxy for stress building in the least-supported segment of the

curve. The 30-year yield was quoted around 4% in early July ahead of a 30-year auction, with the 10-year coupon reset at 2.7% for the July issue (from 2.4% in June), the highest coupon in 29 years.

Structurally, the debt-to-GDP starting point (above 230%) leaves little room for a policy error in either direction — too little fiscal restraint reinforces the term-premium repricing already underway; too rapid a BoJ response risks tightening financial conditions into an economy the BoJ itself has flagged as facing downside growth risk.

FX Intervention and Positioning Amid Geopolitical Overhang

The Middle East conflict has compounded these structural dynamics. With USD/JPY through ¥162, Japanese authorities have shifted toward unannounced "ambush" intervention tactics, backed by substantial official reserves. The prior round of intervention (April/May 2026) totalled an estimated ¥11.7tn (~US\$72.4bn), funded from a visible drawdown in Japan's securities reserves.

Effectiveness has been limited. Non-commercial (speculative) JPY short positioning is at multi-year highs, and the carry profile of funding in yen against higher-yielding currencies remains attractive enough that intervention alone — absent a more aggressive hiking path or a recession shock, neither of which is the base case — has not durably deterred short-yen positioning. Sell-side desks (Goldman Sachs, 6 July 2026) have in fact revised USD/JPY forecasts higher, to 165 over 12 months, reflecting a higher-for-longer US rate view alongside continued yen softness.



The AUD/JPY Channel and 5–10 Year Selling Pressure on the AGB Curve

The most technically specific transmission mechanism into the domestic curve is the channel through which AUD strength against JPY has generated concentrated selling in the five-to-ten-year segment of the AGB benchmark curve. This channel is not well understood by many domestic fixed income participants because it operates through the international balance of payments and the carry-trade positioning of global institutional investors, rather than through the domestic monetary transmission mechanism.

AUD/JPY has been trading near multi-decade highs through mid-2026 — around 111–113 in early July, having risen from the mid-80s five years ago — reflecting the RBA's hiking cycle (terminal cash rate of 4.35% reached in early 2026) against a BoJ that, even after normalising to 1%, remains structurally low-yielding relative to Australia. As AUD/JPY strengthens, JPY-funded carry positions that are long AUD duration become increasingly exposed to a reversal; unwinding or de-risking that exposure manifests as

concentrated selling in the belly of the AGB curve, where offshore, carry-sensitive holdings are most heavily concentrated.

This is not an isolated Australian phenomenon. In the December 2025 quarter, EUR strength against JPY triggered comparable waves of selling in the German, French and UK long ends. The scale of the underlying yen carry trade — commonly estimated in the trillions of US dollars across FX swaps, unhedged bond and equity holdings, and leveraged positioning — means it will continue to have cross-market curve implications for some time yet; market participants who treat it as a one-off 2024-style event risk underpricing its persistence.



House view: carry unwind, not inflation expectations, as the driver

Consistent with our standing house view, we attribute the long-end steepening transmitted into AUD paper to the mechanics of the yen carry trade unwind — not to a shift in domestic or offshore inflation expectations. Inflation-expectations framing does not explain why the selling pressure concentrates specifically in the 5–10yr AGB sector coincident with AUD/JPY strength, nor why comparable moves have occurred in EUR- and GBP-denominated curves on the same underlying catalyst. The balance-of-payments/carry-trade explanation is the more parsimonious and testable framework, and is the one we continue to apply in fund positioning.

Outlook and Positioning Implications

Variable	Current	House Outlook
BoJ policy rate	1.00% (hiked 16 Jun 2026)	Gradual path to ~1.25–1.5% terminal; next move Dec 2026/Jan 2027 base case
10y JGB yield	~2.7–2.8%	Grinding higher toward 3.0%+ as taper completion (Apr 2027) removes marginal buyer
20y JGB sector	10s20s30s butterfly at decade highs	Remains the structurally weakest tenor; watch as a leading stress indicator
USD/JPY	~162	Sell-side consensus skews higher (Goldman: 165, 12m); intervention effectiveness limited

AUD/JPY	~111–113	Near multi-decade highs; further RBA-BoJ differential compression is the key swing factor
5–10yr AGB	Under selling pressure via carry-unwind channel	Persistent while AUD/JPY carry remains attractive; not a one-off fiscal event

Appendix 1: Oil and the US 10-Year: The June Breakdown Has Reversed

Read-through to growth, the Fed, and the US–Australia rate divergence

Date	9 July 2026 (updating the 29 June 2026 memo of the same title)
Status	For discussion — not a recommendation to transact
Classification	Strictly Private & Confidential — Internal IC Use Only

BOTTOM LINE

Both legs of the 29 June thesis have reversed. The Middle East ceasefire has broken down — President Trump declared the interim deal "over," the US struck Iran and revoked Iran's crude-export waiver, and Iran retaliated against US military sites in Bahrain and Kuwait. Brent has surged back through the ~US\$73 level we called resistance, trading in the high-US\$70s (briefly above US\$80 intraday on Trump's remarks), and the US 10-year has surged back through the 4.42% level we called resistance to ~4.58–4.60%, its highest since May. This is not oil "stabilising" — it is the supply-shock scenario reasserting itself, compounded by a Federal Reserve under new Chair Kevin Warsh that has turned materially more hawkish: CME FedWatch now prices a September hike at ~69% and a December hike at ~85%, and the June FOMC minutes (released 8 July) signal no cuts before 2027. The demand-led, dovish-Fed read from 29 June is dead. Our RBA view is unchanged — the Bank stays on a path to a 25bp December hike on domestically generated cost-push inflation — but the specific long-end ACGB rally trade, which depended on the US 10-year continuing to fall, is invalidated by the reversal and should be closed or reassessed, not held.

1. What changed since 29 June

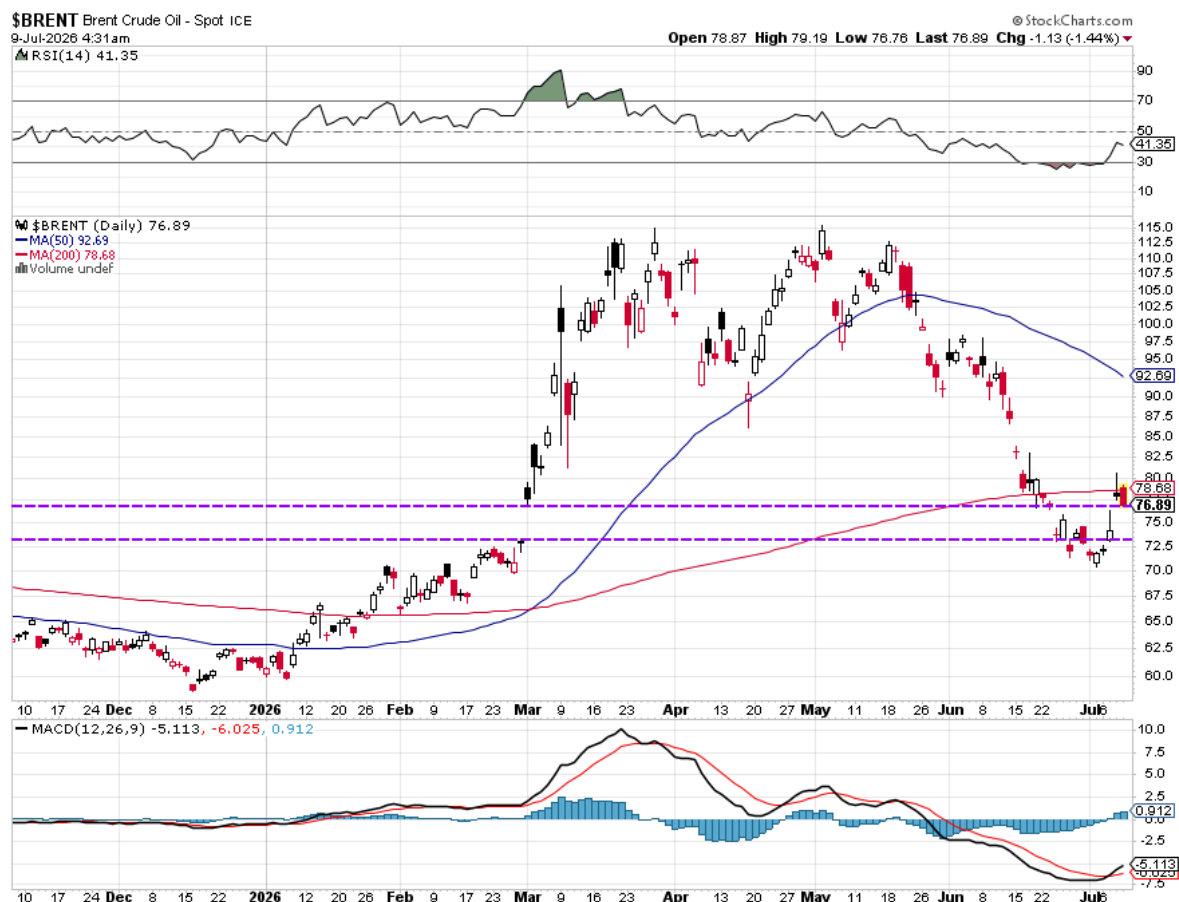
- Middle East: the interim ceasefire collapsed. President Trump said "as far as I'm concerned, the ceasefire is over," the US launched fresh strikes on Iran and revoked the waiver that had permitted Iran to export crude; Iran responded by striking US military sites in Bahrain and Kuwait. Renewed attacks on shipping through the Strait of Hormuz have followed.
- Oil: Brent has round-tripped the June breakdown entirely. Having closed at US\$72.92 on 25 June (the break of ~US\$73 support we flagged), Brent traded back above US\$73 within days of the ceasefire

collapse and has since traded as high as ~US\$80 intraday, settling in the high-US\$70s (US\$77–78) as at 8–9 July — a ~7% move over two sessions at the peak of the escalation.

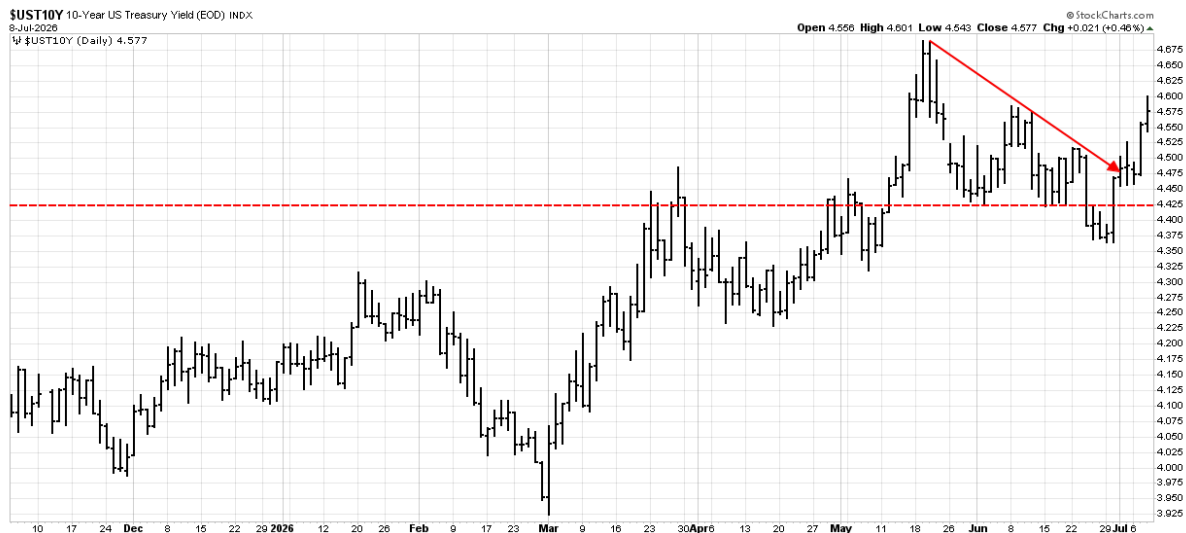
- US 10-year: the yield has fully reversed the June breakdown. Having closed near 4.37% on 26 June (through the 4.42% support we flagged), the 10-year has since risen to ~4.58–4.60%, its highest level since May, on the combination of oil-driven inflation fears and a repricing of Fed hike risk.
- The Fed: Chair Kevin Warsh's first meeting (17 June) removed forward guidance and struck a hawkish tone on price stability even as he is seen personally as more dovish-leaning; the committee itself has moved hawkish, with nine of eighteen officials projecting at least one hike this year. The 8 July FOMC minutes reinforced this — signalling no rate cuts until 2027 — and CME FedWatch-style pricing now shows roughly 69% odds of a September hike and 85% odds of a hike by December, up sharply from the cutting-cycle pricing prevailing when the 29 June memo was written.

The technical thesis, revisited

The Brent price chart on the 26th of June was showing a breakdown through key support levels and there was an expectation that breaking back above the resistance at 76.89 would be difficult. The re-emergence of the conflict with Iran has now broken this thesis and there is a risk that the oil price moves back towards \$87 in the short term.



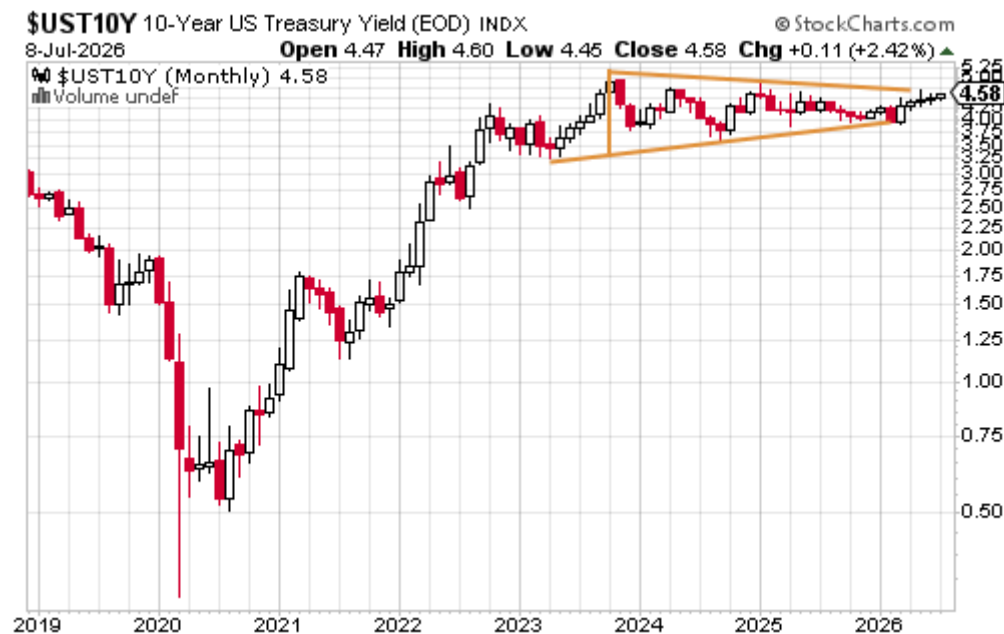
Brent crude (daily) — the ~US\$73 pre-conflict support break as at 25 June 2026. Since reversed: Brent now trades in the high-US\$70s.
 Source: StockCharts.



US 10-year Treasury yield (daily) — the 4.42% support break as at 26 June 2026. Since reversed: the 10-year now trades near 4.58–4.60%.
Source: StockCharts.

The 29 June memo explicitly flagged the two conditions that would invalidate its own thesis: "whether the 10-year break extends or reverses back above 4.42%; whether oil stabilises or accelerates lower." Both have now occurred, in the reversing direction, within two weeks of the memo being written. We flag this plainly rather than reframe the original call after the fact.

On the monthly chart the US 10 year yield chart still looks like a bullish (yields to rise) rising wedge pattern. It would only need to move above 4.60% to confirm the breakout and the upside technical target from a breakout is 5.8%.



Macro read-through: from growth scare to inflation scare

The 29 June read was that oil falling through a supply shock was a demand signal, and a lower 10-year was the market beginning to discount softer US growth — dovish for the Fed and consistent with the leverage-unwind tail flagged by rates strategists at the time. That read is no longer supported by the data. Oil has

since risen on a textbook supply shock (a real, escalating Middle East conflict, not a chart pattern), and the 10-year has risen alongside it — the classic co-movement of an energy-driven inflation shock, not a growth scare. The Fed's own reaction function has reinforced this: Chair Warsh's hawkish rhetoric and the committee's hike-leaning projections mean the 10-year's move is being driven by both higher expected inflation and a higher expected policy path, not lower growth expectations.

The leverage-unwind/deleveraging tail we cited from the major investment bank's rates desk in the prior memo has not been confirmed or disconfirmed by this move — narrow-breadth, leverage-financed equity exposure remains a background risk — but it is no longer the operative explanation for what is moving oil and rates day to day. The operative story is now a straightforward geopolitical supply shock feeding into a Fed that has explicitly signalled less tolerance for above-target inflation.

RBA and the US–Australia divergence — largely intact, but the trade needs recasting

Our domestic view is unchanged and, if anything, modestly reinforced: the RBA remains on a path to a 25bp hike in the December quarter on domestically generated cost-push inflation — new dwelling construction running at 5.6% YoY, rents reaccelerating toward 4%, broad market services inflation, and the Fair Work Commission's 4.75% award increase taking effect from 1 July. Renewed oil strength, if sustained, is if anything a modest additional upside risk to that domestic thesis via the imported-fuel channel, working in the same direction as our cost-push case rather than against it.

What has changed is the shape of the divergence trade. The 29 June memo's constructive case for the long end of the ACGB curve rested specifically on the Australian 10-year's ~35bp premium to US Treasuries compressing as the US 10-year fell — "the local 10-year can follow the US anchor lower and narrow the spread at the same time." With the US 10-year now higher by more than 20bp from its late-June low and the Fed's hike odds rising rather than falling, that mechanism is running in reverse: the US anchor has moved up, not down, and a hawkish Fed repricing is a headwind to ACGB long-end performance rather than a tailwind. The front-end-light, long-end-constructive flattener framed in the prior memo should be reassessed — the front-end case (light AU duration into a December hike) still holds, but the long-end rally case specifically requires the US 10-year to resume falling, which it has not done.

Revised implications for IC discussion

- Duration. AU front-end duration light into the December quarter remains appropriate — that view is unaffected. The long-end ACGB rally case from the 29 June memo should be treated as on hold, not live: it depended on a falling US 10-year, and the US 10-year has instead risen through the level we called resistance. Any USD-rate exposure taken on the back of the prior memo's US 10-year breakdown thesis should be reviewed given the reversal.
- Curve. The flattener expression (front anchored by the December hike, long end following the US lower) is the trade to reassess first — it is currently running against the divergence thesis rather than with it, since the US long end has moved up, not down.
- Carry over duration. Unaffected, and if anything reinforced: elevated BBSW and a higher-for-longer domestic front end continue to favour running income and carry over reaching for capital gains from near-term AU easing, which remains unlikely on our view.

- Credit. The reversal does not resolve the deleveraging-tail risk to spreads flagged previously; a hawkish Fed repricing and higher long rates are, if anything, a fresh channel by which financing costs could bite a narrow, leverage-dependent equity rally. We would maintain the prior stance of not chasing further spread compression and keeping credit quality up.
- FX. The clean "RBA hikes while the Fed leans dovish" AUD-supportive case from 29 June is weaker now that the Fed itself is leaning toward hikes rather than cuts — the policy-rate differential argument is less one-sided than it was. A genuine risk-off event (whether from the Middle East conflict or a leverage unwind) remains the natural hedge consideration and would likely still weigh on AUD regardless of the rate differential.

What would change our mind — updated watch items

- Whether Brent stabilises in the high-US\$70s/low-US\$80s or extends higher on further escalation (a renewed attempt to close or disrupt the Strait of Hormuz would be the key trigger to watch).
- Whether the US 10-year holds above 4.42% (now support again, on the reversal) or fails and falls back through it — the level to watch is the same one flagged in the 29 June memo, now approached from the opposite direction.
- The September and December FOMC meetings, given CME-style pricing now shows ~69% and ~85% odds of a hike respectively — a hike delivered, rather than merely priced, would confirm the regime change and further undermine any residual case for US duration or an ACGB long-end rally.
- The Q3 Australian CPI in late October remains the most likely trigger for the RBA's December move, unchanged from the prior memo.
- Any sign of the leverage-unwind tail moving from a background risk into realised credit spread widening, which would be the point at which the credit-caution stance in Section 5 needs to become more active.

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